

Assessment	Test	Domain	Skill	Difficulty
SAT	Math	Advanced Math	Nonlinear functions	Hard

Question

The population P of a certain city y years after the last census is modeled by the equation below, where r is a constant and P_0 is the population when $y = 0$.

$$P = P_0(1 + r)^y$$

If during this time the population of the city decreases by a fixed percent each year, which of the following must be true?

Answer

- A. $r < -1$
- B. $-1 < r < 0$
- C. $0 < r < 1$
- D. $r > 1$

Correct Answer: B

Rationale

Choice B is correct. The term $(1 + r)$ represents a percent change. Since the population is decreasing, the percent change must be between 0% and 100%. When the percent change is expressed as a decimal rather than as a percent, the percentage change must be between 0 and 1. Because $(1 + r)$ represents percent change, this can be expressed as $0 < 1 + r < 1$. Subtracting 1 from all three terms of this compound inequality results in $-1 < r < 0$.

Choice A is incorrect. If $r < -1$, then after 1 year, the population P would be a negative value, which is not possible. Choices C and D are incorrect. For any value of $r > 0$, $1 + r > 1$, and the exponential function models growth for positive values of the exponent. This contradicts the given information that the population is decreasing.